

Products vs Services

SESSION 2 · MODULE 1 FOUNDATION



Let's Start With a Question

> Your iPhone hangs repeatedly. What frustrates you more — the phone itself, or terrible Apple customer support?

That's exactly where the difference between products and services begins.

The Pointer In My Hand

Can this exist before the customer buys it?

What Is a Product?

Products exist **before** the customer arrives. They can be stored, tested, and inspected before sale.

Products are created first and consumed later.



Laptop

Built, boxed, shipped



Shoes

Manufactured in batches



Car

Assembled, stored, sold



Phone

Quality-checked before delivery

Can an Uber ride exist before the customer books it?

What Is a Service?

> A service is an activity, experience, or performance that creates value through convenience, expertise, access, support, or outcomes.



Uber ride

Exists only when booked

A service cannot exist in a warehouse. It comes alive only through interaction.

Services often come alive only during interaction.



Netflix episode

Experienced, not owned



Swiggy delivery

Value in the delivery act

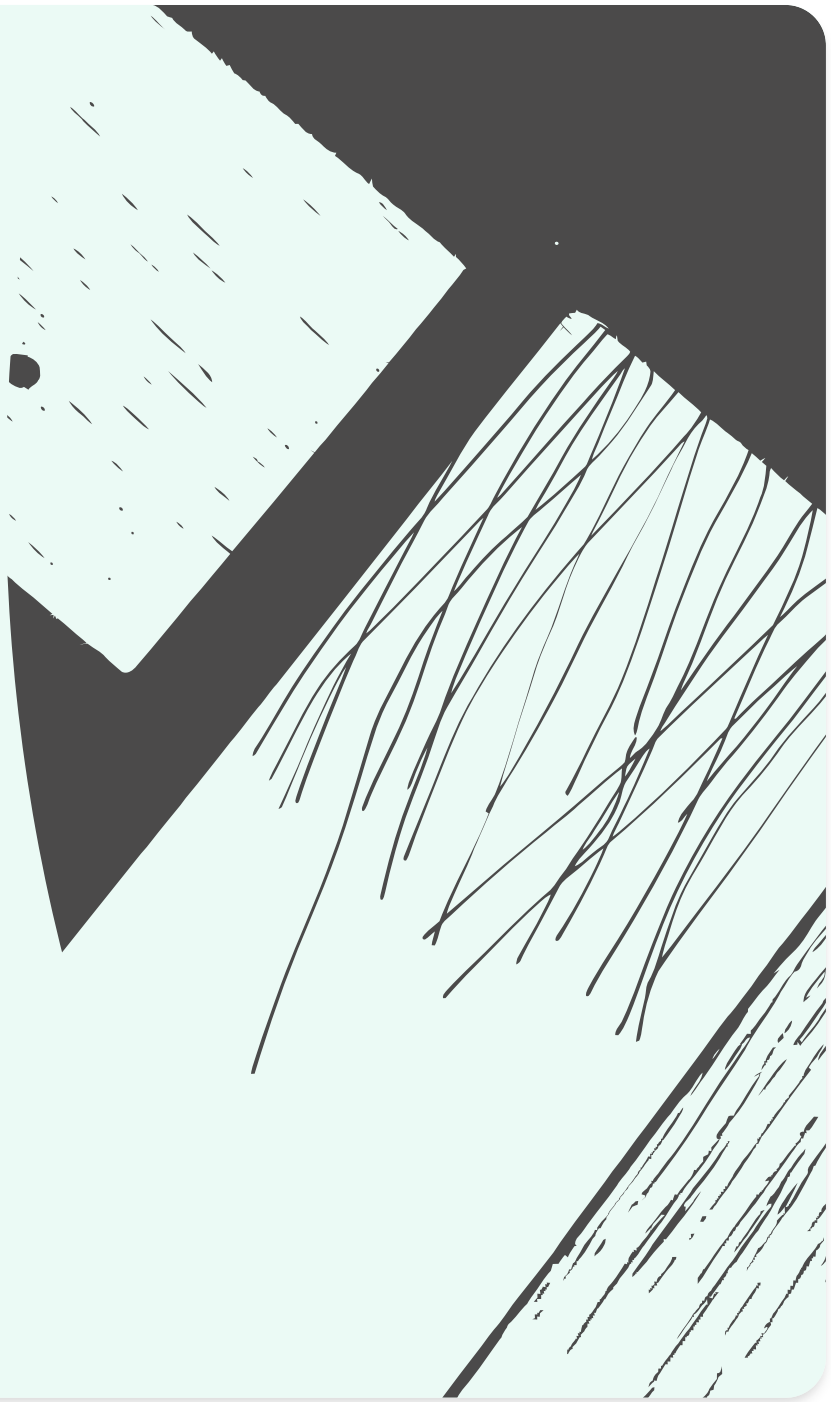


Practo Consultation

Expertise on demand

Products are owned.

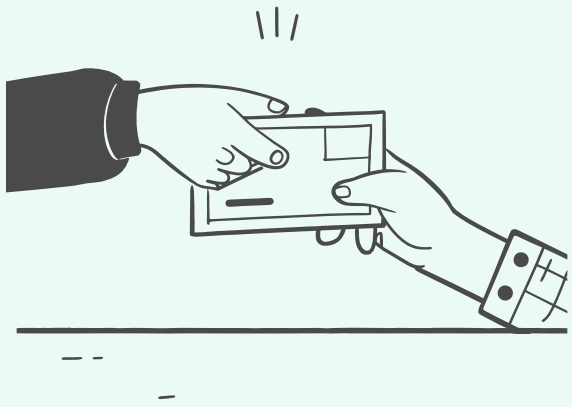
Services are experienced.



Products vs Services: The Full Comparison

Products	Services
Tangible	Intangible
Owned	Experienced
Manufactured	Delivered / performed
Can be stored	Perishable
Standardised	Variable
Production separate from consumption	Simultaneous production & consumption
Quality checked before delivery	Quality judged during experience

Can you physically touch Netflix?



DIMENSION 1

Tangible vs Intangible

Product

A phone — you can hold, drop, and repair it.

Service

A Netflix subscription — you cannot touch, smell, or keep it.

Services are often invisible until experienced.

Why are younger generations choosing access over ownership?

DIMENSION 2

Ownership vs Access

Product

Buying a car — you own it, insure it, park it.

Service

An Uber ride — you access mobility without owning anything.

"Why are younger generations choosing access over ownership?"
Answers: convenience · flexibility · lower cost · urban lifestyles



The economy is moving from ownership to access.

DIMENSIONS 3, 4 & 5

Three More Key Differences

1	2	3

Manufactured vs Delivered

Shoes are built in a factory. A doctor's consultation is built in the room — live, in the moment.

Physical Products are built in factories. Services are built in interactions.

Storable vs Perishable

Unsold shoes sit on a shelf. An empty airline seat at take-off is **lost revenue — forever.**

Unused service capacity disappears permanently.

Standardised vs Variable

Every iPhone 15 is identical. But every Uber ride differs by driver, traffic, mood, and route.

Humans introduce variability into services.

DIMENSION 6

Quality Control: The Hardest Part

A product can be tested in a lab before it reaches you. A service is judged **as it is being delivered.**

All six dimensions of a restaurant experience are evaluated **live,**

simultaneously.



In services, the customer becomes part of quality control.

- Food
- Ambience
- Speed
- Behaviour
- Hygiene
- Billing

Modern Businesses Are Hybrids

Business	Product	Service
Apple	iPhone	Ecosystem / Support
Tesla	Car	Software updates (OTA)
Amazon	Platform	Delivery experience

SaaS companies	Software	Continuous support
Airbnb	App	Hosting experience

Is Swiggy a technology company or a service company?

The future belongs to businesses that combine products and services seamlessly.

Mini Activity: Product, Service, or Hybrid?

Classify each of the following rapidly.

Spotify	Starbucks	Tesla
ChatGPT	AWS	Netflix
Swiggy	ONDC	DigiLocker

PRODUCT SERVICE HYBRID



Why Are Services Harder to Scale?

> "Why is scaling hospitality harder than scaling software?"

→ Human unpredictability

Behaviour, mood, and skill vary across every staff member.

→ Operational complexity

OYO, Urban Company, and airlines all struggle with consistency at scale.

Training & trust

Healthcare and hospitality require trust — and trust takes time to build.

"Scaling services means scaling consistency, trust, and experience."

Key Takeaways

Products Are Owned

Manufactured, stored, transferred through purchase.

Services Are Experienced

Delivered live, judged in the moment, impossible to return.

Harder to Standardise

Human variability makes consistent service delivery a real challenge.

Hybrids Dominate Today

Technology is reshaping how products and services are bundled together.

Closing Question

> "Think of one company you use regularly. What are they **really** selling — a product, a service, or an experience?"



This is the **"experience lens"** — once you see business this way, you can't unsee it.